

Fearnleys Dry Bulk Weekly

May 21, 2025



Capesize/Newcastlemax

In our previous report, we wrote:

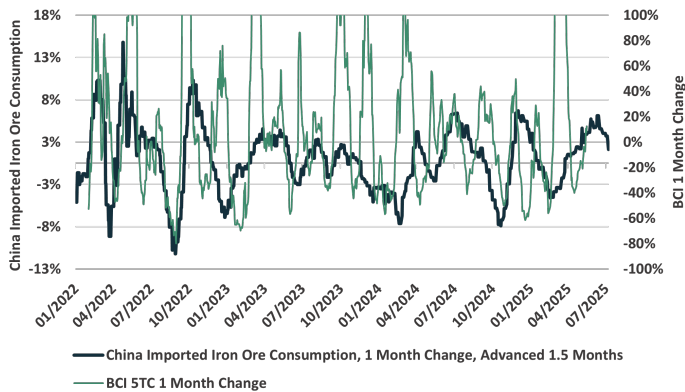
China's imported iron ore consumption has remained high in the previous two weeks, and there have been no significant changes to iron ore inventories. With that considered, shipment volumes from West Australia were lower than what one would expect last week. This could mean the market dip at the end of last week was temporary.

However, from June onwards, indicators are still suggesting weakening fundamentals. The month-on-month change of China's imported iron ore consumption is dropping, the 3-month iron ore price lead points downwards from the start of June, and AIS data for VLOCs are gradually looking more bearish.

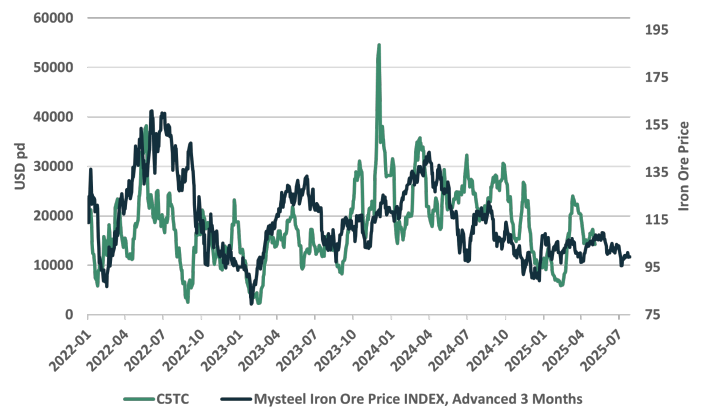
Last week, China's imported iron ore consumption decreased for the first time since early March. The month-on-month change has dropped from +5.6% to +1.6% during the previous three weeks.

The VLOC ballaster/laden vessel ratio has dropped below 80%, which often precedes a weakening Capesize market. Along with the weakening indicators related to iron ore, the force majeure declared by some Bauxite shippers rattled market sentiment. June and July could be sluggish months for the Capesize market.

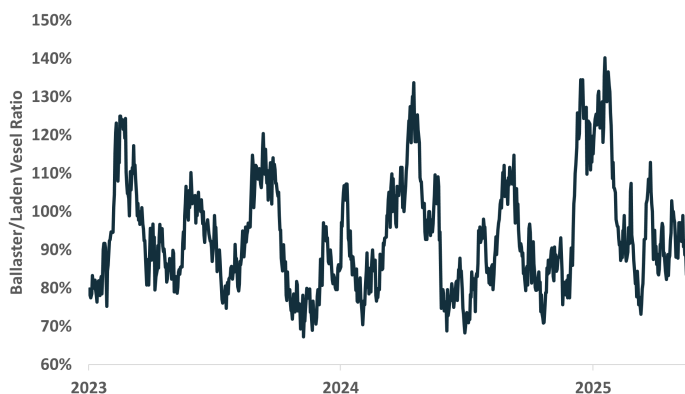
China Imported Iron Ore Consumption Lead vs BCI5TC 1 Month Change



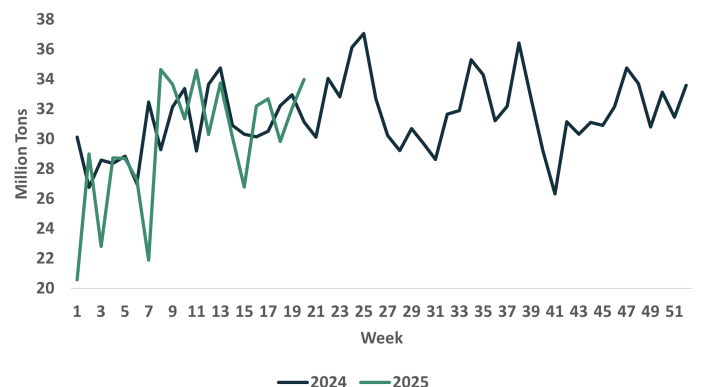
Iron Ore Price, 3 Months Lead vs BCI5TC



VLOC Ballaster Laden Vessel Ratio



Capesize/Newcastlemax Weekly Shipment Volumes 2024 vs 2025





Panamax/Kamsarmax

In our previous report, we wrote:

The situation remains unchanged. Coal markets and the general macroeconomic situation are weak. Grains from both North and South America have supported the market so far this year. Average market seasonality suggests a dip could be incoming over the next two weeks.

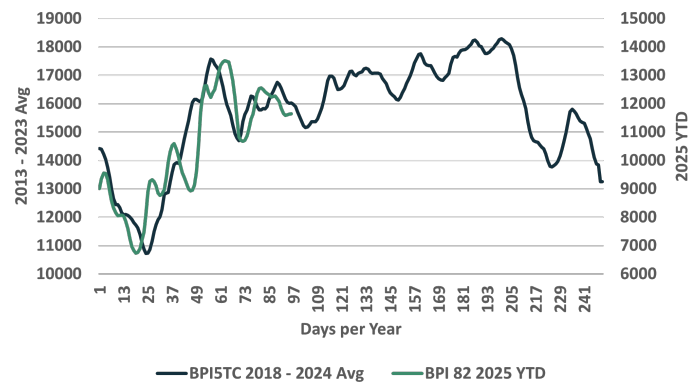
The market has dipped over the last week, and seasonality suggests weakness will persist for the next week as well. Average seasonality is not likely to be tracked as closely during the second half of the year as it has been during the first half. After the ECSAM grain season winds down, factors like the temperature in Asia during the summer months and the upcoming Black Sea and US grain seasons will decide the swings in the Panamax market. The latter factor will depend on the trade relations between the US and China.

Fundamentals are not strong, and we do not expect this to change over the coming months.

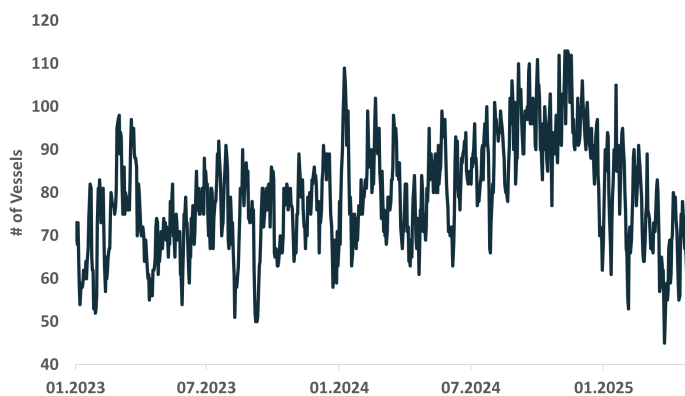
Panamax / Kamsarmax Canada and US Grain Exports



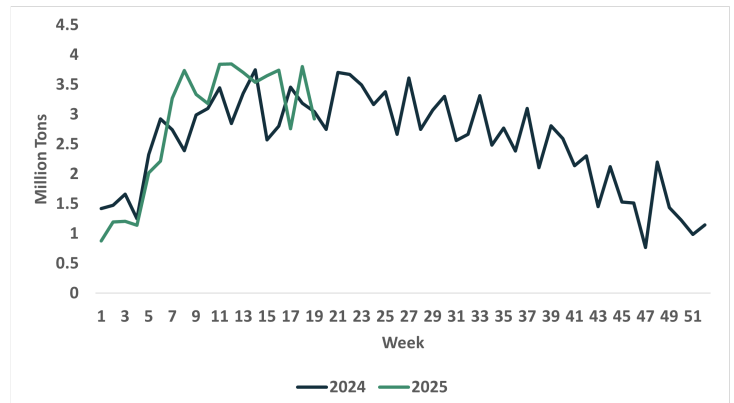
Kamsarmax Market Seasonality



Panamax / Kamsarmax Heading to Indonesia



Panamax / Kamsarmax Argentina and Brazil Grain Exports





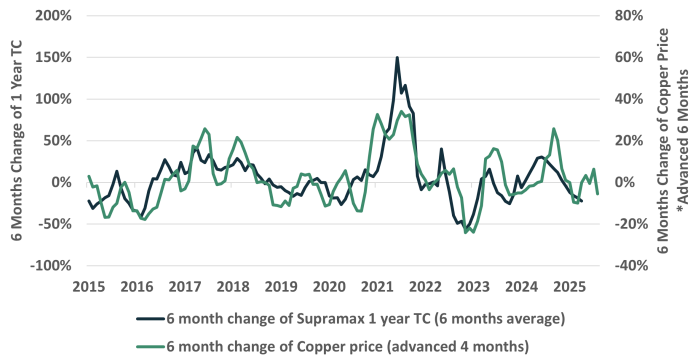
Supramax/Ultramax

In our previous report, we wrote:

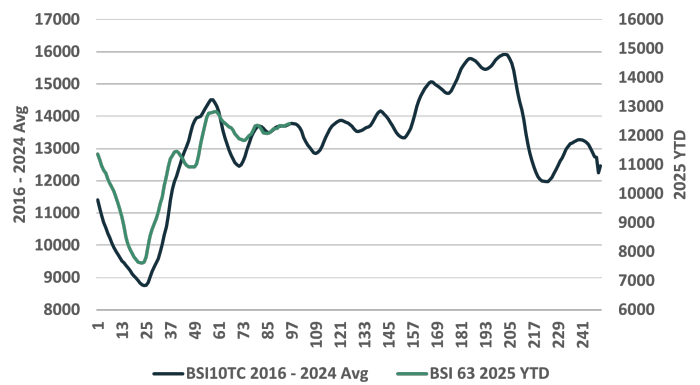
In late March, we wrote that the Supramax-63 index was unlikely to go above 13kpd. Since then, the market has trended sideways. In the next months, the seasonal decline in both North and South American grain shipments is the main downside market risk. Upside potential is harder to find given the weak macroeconomic backdrop.

There is no change to the fundamental backdrop. Given how closely the market has tracked average seasonality over the last week, it could mean the S11TC index will drop below 12kpd within the next 2-3 weeks.

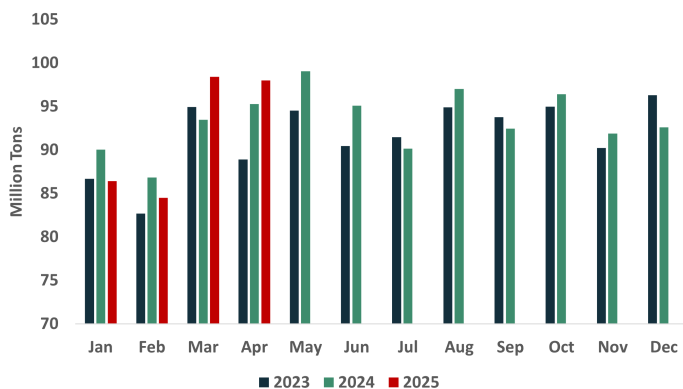
Copper Price Lead vs Supramax 1 Year TC 6 Months Change



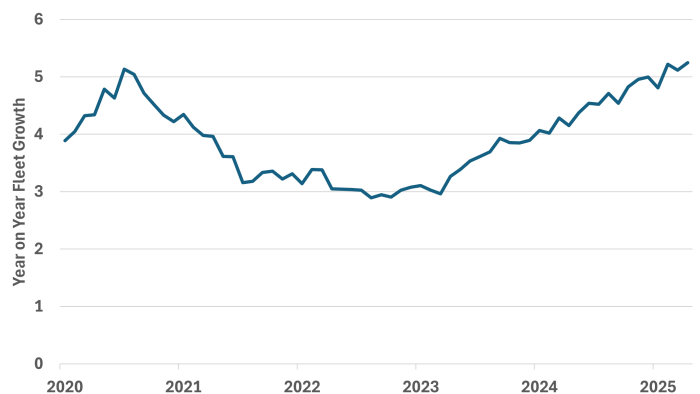
Supramax / Ultramax Market Seasonality



Supramax/Ultramax Monthly Shipment Volumes, by Year



Supramax/Ultramax Year on Year Fleet Growth





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